237_VILLE
DEVELOPMENT GROUP LLC

Operating Agreement

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OPERATING AGREEMENT

OF

237_VILLE DEVELOPMENT GROUP LLC

This Operating Agreement ("Agreement") is entered into as of [DATE], by and among the Members of 237_Ville Development Group LLC (the "Company"), a Kentucky limited liability company.

ARTICLE I – PURPOSE

The purpose of the Company is to:

- Acquire, develop, renovate, manage, and sell a specific real estate project
- Operate as a single-project investment vehicle

ARTICLE II – MEMBERS & STRUCTURE

2.1 **Classes of Members**

Class A Members (Investors): Passive investors contributing capital
Class B Member (Manager): Njinko's Development Group LLC
Class C Members (Contractor Equity Participants): Contractors or service providers who elect to convert a portion of earned compensation into an investment interest in the Company

2.2 **Ownership** Ownership shall be based on capital contributions (Class A), service-based contributions (Class C), and promote structure (Class B).

ARTICLE III – CAPITAL CONTRIBUTIONS

3.1 **Investor Contributions (Class A)** Investors shall contribute capital as outlined in subscription agreements.

3.2 **Manager Contribution (Class B)** Manager contributes services, expertise, and execution.

3.3 **Contractor Contributions (Class C)** Contractors may elect to convert a portion of their earned but unpaid compensation into an investment in the Company, subject to Manager approval.

3.4 **Valuation of Contractor Contributions** The value of such contributions shall be equal to the agreed contract value of deferred labor or services.

3.5 **Election Requirement** Contractors must execute a written election agreement specifying:

- Total contract amount
- Portion deferred and invested
- Payment terms for any remaining balance

3.6 **Treatment of Deferred Compensation** Deferred compensation converted into equity shall be treated as a capital contribution and shall not be considered a liability of the Company unless otherwise agreed in writing.

3.1 **Investor Contributions** Investors shall contribute capital as outlined in subscription agreements.

3.2 **Manager Contribution** Manager contributes services, expertise, and execution.

ARTICLE IV – MANAGEMENT

4.1 **Manager Control** The Company is manager-managed by Njinko's Development Group LLC.

4.2 **Authority** Manager has full authority over:

- Acquisition, development, and sale
- Financing and refinancing
- Construction decisions
- Budget and timelines

4.3 **Investor Rights (Limited)** Investors may vote only on major decisions:

- Removal of Manager (requires 75% vote + cause)

4.4 **Cause Definition** Cause includes:

- Fraud
- Willful misconduct
- Gross negligence

ARTICLE V – FEES TO MANAGER

Manager shall receive:

- Acquisition Fee: 1%–3%
- Construction/GC Fee: 5%–10%
- Asset Management Fee: 1%–2% annually

ARTICLE V-A – CONTRACTOR COMPENSATION & PARTICIPATION

5A.1 **Standard Compensation** Contractors shall be entitled to payment for services rendered pursuant to separate construction agreements.

5A.2 **Deferred Compensation Option** Contractors may elect to defer a portion of their compensation and convert it into a Class C investment interest.

5A.3 **Partial Payment Structure** Contractors may receive:

- A portion of payment in cash during construction
- A portion deferred until project completion

5A.4 **Profit Participation** Deferred amounts converted into equity shall participate in distributions in accordance with the distribution waterfall, alongside Class A Members, unless otherwise specified.

5A.5 **Risk Acknowledgment** Contractors acknowledge that any deferred or invested compensation is at risk and subject to the performance of the project.

5A.6 **No Guaranteed Payment** Deferred amounts treated as equity shall not be guaranteed and may be reduced or lost depending on project outcomes.

ARTICLE VI – DISTRIBUTION WATERFALL

Distributions shall occur in the following order:

Step 1: Preferred Return

- 8% annual preferred return to Class A Members (accruing, non-compounded)

Step 2: Return of Capital

- 100% to Class A Members until full return of capital

Step 3: Profit Split Tier 1

- 70% to Class A Members
- 30% to Manager

Step 4: Profit Split Tier 2 (Performance Tier)

- After investors achieve a 15% IRR:
- 60% to Class A Members
- 40% to Manager

ARTICLE VII – CAPITAL CALLS

7.1 **Capital Calls** Manager may request additional capital.

7.2 **Funding Deadline** Members must fund within 10 business days.

7.3 **Failure to Fund Penalties** Manager may elect:

- Dilution of ownership
- Treat as loan at 12% interest
- Forced sale of interest at 70% of value

ARTICLE VIII – TRANSFER RESTRICTIONS

- No transfers without Manager approval
- Company has right of first refusal

ARTICLE IX – BUYOUT RIGHTS

Manager may buy out Members at fair market value.

Valuation methods:

- Third-party appraisal
- Agreed formula

ARTICLE X – LIABILITY & INDEMNIFICATION

- Members not personally liable
- Manager indemnified except for fraud/gross negligence

ARTICLE XI – TERM & EXIT STRATEGY

11.1 **Term** Estimated project duration: 6–24 months (flip) or 12–36 months (development)

11.2 **Exit** Manager determines timing of sale or refinance

ARTICLE XII – SECURITIES COMPLIANCE

- Offered under Regulation D (Rule 506(b)) exemption
- No public solicitation

ARTICLE XIII – ACCOUNTING & RECORDS

- Maintain financial records
- Provide periodic investor updates

ARTICLE XIV – DISPUTE RESOLUTION

Disputes resolved by:

1. Negotiation
2. Mediation (Kentucky)
3. Binding arbitration

ARTICLE XV – DISSOLUTION

Company dissolves upon project completion and final distributions.

ARTICLE XVI – INVESTOR OVERSIGHT & FUND CONTROL PROCEDURES

16.1 Investor Representatives

For each project, the Class A Members may elect two (2) Investor Representatives by majority vote based on ownership percentage.

16.2 Role of Investor Representatives

Investor Representatives shall serve solely in an oversight and transparency capacity and shall not participate in day-to-day management of the Company. Their responsibilities may include:

- Reviewing project budgets and periodic financial updates

- Reviewing construction draw requests submitted by the Manager

- Approving certain large disbursements as provided herein

- Serving as a communication liaison between the Manager and the Investors

16.3 Draw Approval Thresholds

To balance transparency with operational efficiency, the following approval structure shall apply:

- Draws up to \$10,000 may be approved and disbursed by the Manager without additional approval

- Draws greater than \$10,000 and up to \$50,000 may be disbursed by the Manager after notice to the Investor Representatives, without requiring formal approval

- Draws above \$50,000 shall require approval from at least one (1) Investor Representative before disbursement

16.4 Draw Review Process

For any draw requiring Investor Representative review, the Manager shall submit supporting documentation reasonably sufficient to describe the purpose of the draw, including invoices, scope of work, payment applications, or similar backup. Investor Representatives shall have up to seventy-two (72) hours to review and respond. If no response is received within such period, the draw shall be deemed approved.

16.5 Project Bank Account and Access

The Company may maintain a dedicated project bank account for project funds. The Manager shall serve as the primary authorized signer. Investor Representatives may be granted view-only access, reporting access, or limited approval visibility with respect to the account. The Manager may implement dual-approval controls for large disbursements consistent with this Article.

16.6 Limitations on Investor Representatives

Investor Representatives:

- Shall not be deemed managers of the Company

- Shall have no authority to bind the Company

- Shall not interfere with project execution or contractor management

- Shall not unreasonably withhold, condition, or delay approvals

- Shall not assume liability for project performance, losses, or outcomes solely by reason of serving in such capacity

16.7 Manager Authority Preserved

Nothing in this Article shall limit the Manager’s full authority over project execution, scheduling, contracting, budgeting, construction administration, financing, refinancing, sale, or refinance decisions, except as expressly provided for draw approvals above the applicable threshold.

16.8 Purpose and Interpretation

This Article is intended solely to enhance transparency, accountability, and investor confidence while preserving efficient project execution and the Manager’s authority.

SIGNATURES

Manager: Njinko's Development Group LLC

Investor Signature Blocks via Subscription Agreement